CASE STUDY · CRYPTO THIN LOSERS

It passed the test. Its story didn't.

The strategy still made money. Just not the way Pass 1 said it would.

23 Oct

ECONOMIST

The story. Thin coins that just fell are sold below value; whoever holds them two weeks is paid by the recovery. Long thin losers, short liquid losers.

23 Oct

DEVELOPER

Train: net Sharpe 1.38. Every kill criterion passes.

23 Oct

ANALYST · RED TEAM

Candidate, with a warning. 2024 net Sharpe 0.33; break-even cost 20 bp, exactly the cost assumed. No kill: open the test.

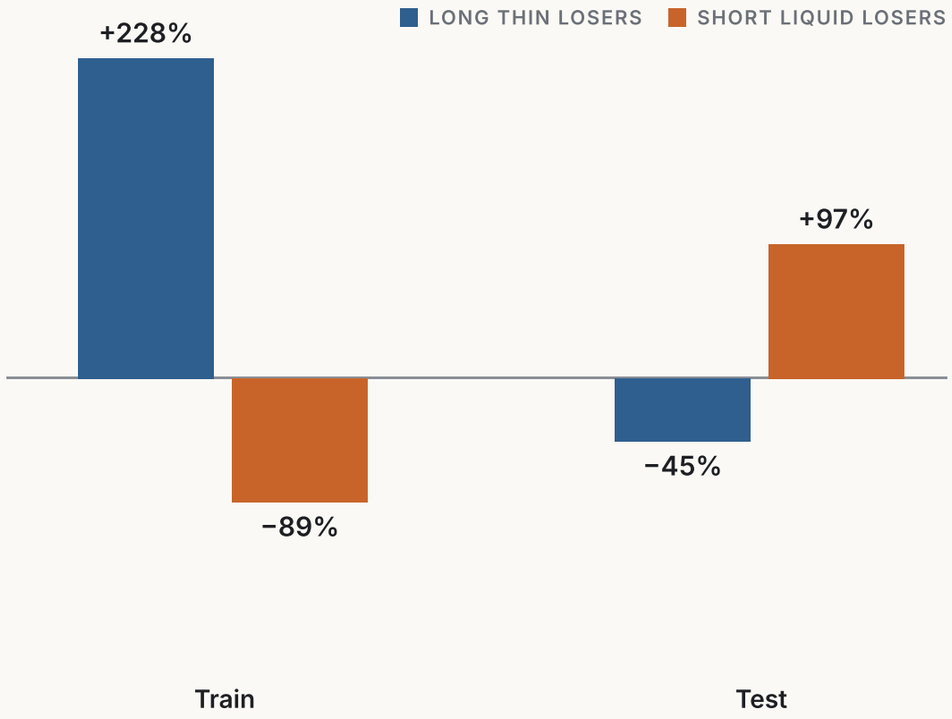
2025 → 2026

SEALED TEST

Net Sharpe 0.38, ambiguous zone. Kept, on paper only. But read the legs.

PRICE P&L BY LEG, % OF CAPITAL

The leg that was meant to pay lost.



Passing the test doesn't prove your story. That's why it's on paper, not money.